

Solution of Case

With the intense development and growth of China's phone/mobile communication and technology industry, many manufactures have come up to take the advantage of growing market of mobile phone users.

Thus, the case study revolves around the challenges faced by Xiaomi during the process of its internationalisation. In the beginning the company was facing trust issue which also led to low brand image. Unsatisfactory sales with reducing market share in the global smartphone market was also the matter of concern. Based on the analysis of the company, we got a picture about the problems the company is facing. Below are the few recommendations and suggestions for the Xiaomi to overcome the road blocks while expanding globally.

SUNDAY 12

Lack of offline options: Since Xiaomi boost the sales directly through its online store, allowing it to bypass the costs of operation brick-and-mortar locations. Not all country are fond of online shopping. Increasing the Mi retail outlets is required when the company try to expand globally.

Dec '10

In India, Xiaomi partnered with the largest e-commerce for its sales but however they had increased the number of retail outlets due to stagnation in their Online sales.

In 2018, they planned to have 5000 Mi Outlet. Although market research on the buying behaviours of the customers before entering the company is suggested.

Need for Innovation: Though threat from substitute is weak for Xiaomi because of its lower price, the problem still exists with high ranked competitors like Apple, Samsung Company should strive for creating unique product which should have different characteristics and position in the minds of the customers.

Building Strong Finance Structure: For any company to work on its expansion and innovation, it requires sound finance for it to carry out the operations. Xiaomi debut to IPO in Hong-Kong and India failed and fell up to 30%. Company should identify ways to raise its fund because it is crucial for them to invest more in Research and Development.